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BEFORE THE FEDERAL MARITIME COMMISSION

PETITION OF CHINA SHIPPING CONTAINER LINES CO., LTD.

FOR PERMANENT FULL EXEMPTION FROM

THE FIRST SENTENCE OF

SECTION 9(C) OF THE SHIPPING ACT OF 1984

DOCKET NO.

P4-03

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July 31, 2003

PETITION OF
CHINA SHIPPING CONTAINER LINES CO., LTD.
FOR PERMANENT FULL EXEMPTION FROM
THE FIRST SENTENCE OF
SECTION 9(C) OF THE SHIPPING ACT OF 1984

China Shipping Container Lines Co., Ltd. ("China Shipping") hereby petitions the Federal Maritime Commission ("Commission"), pursuant to Section 16 of the Shipping Act of 1984 (the "Act"), 46 U.S.C. app. § 1715, for a permanent full exemption from the 30-day waiting period requirement contained in the first sentence of Section 9(c) of the Act, 46 U.S.C. app. § 1708(c). China Shipping requests this exemption so that it can publish rate decreases in all U.S. foreign commerce to be effective upon publication, without regard to whether they are the same as or lower than competing carriers' rates.

The Commission has the authority to grant the exemption requested by this Petition. Granting the exemption will not result in a substantial reduction in competition or be detrimental to commerce. To the contrary, granting the exemption will increase competition, benefit commerce, and promote the Congressional intent underlying the Act. At the same time, granting the exemption would not relieve China Shipping of its obligation to charge just and reasonable rates as required by Section 9(a) of the Act, or have a detrimental effect on the Commission's ability to enforce that requirement.

BACKGROUND

This Petition is one of a series of petitions filed by the three Chinese controlled carriers, China Ocean Shipping (Group) Company (“COSCO”), China National Foreign Trade Transportation (Group) Corp. (“Sinotrans”), which recently changed its name to Sinotrans Container Lines Co., Ltd. (“Sinolines”), and China Shipping. A brief recitation of the history of these petitions will put this Petition into proper perspective.

On March 27, 1998, the Commission issued an order (the “March 27 Order”) granting COSCO a limited exemption from Section 9(c) of the Act to allow COSCO to reduce its tariff rates on one day’s notice to meet or exceed the filed rates of competing ocean common carriers.¹ Use of the exemption requires filing with the Commission of certain documentation evidencing that the tariff rate reduction was made in response to a competitor’s rates.

On March 31, 1999, COSCO filed Petition No. P3-99 (the “Pending COSCO Petition”) requesting a broader exemption to allow COSCO to publish rate decreases in all U.S. foreign commerce to be effective upon publication, without regard to whether they are the same as or lower than competing carriers’ rates. The Commission has not acted on the Pending COSCO Petition.

In 2000, Sinotrans filed a petition requesting the same limited exemption granted to COSCO by the Commission’s March 27 Order. That petition was withdrawn in June of this year, and on July 11, 2003, a new petition (the “Sinolines Petition”) requesting the same exemption was filed by Sinolines.

¹ Petition No. P1-98 - Order by the Federal Maritime Commission Granting China Ocean Shipping (Group) Company a Limited Exemption from Section 9(c) of the Act (March 27, 1998).

On May 2, 2003, China Shipping filed Petition No. P1-03 (the “First China Shipping Petition”) requesting the same limited exemption granted to COSCO by the Commission’s March 27 Order. The limited exemption requested by the First China Shipping Petition would enable China Shipping to reduce its tariff rates on one days’ notice to meet or exceed a competitor’s rates. In its petition, China Shipping acknowledged that the Commission had imposed certain information reporting requirements on COSCO in connection with its use of the limited exemption. China Shipping confirmed that it is willing to accept the same requirements.

The only comments received in response to the First China Shipping Petition were submitted by American President Lines (“APL”). Essentially, APL requested that the Commission not take action on any of the pending petitions concerning the Controlled Carriers Act unless and until there had been some resolution of the issues concerning restrictive trade practices in China. APL did not suggest that granting the First China Shipping Petition would result in a substantial reduction in competition or be detrimental to commerce.

On July 31, 2003, China Shipping withdrew the First China Shipping Petition. This Petition is intended to replace the First China Shipping Petition. The purpose of this Petition is to expand the relief requested by the First China Shipping Petition.

The first requirement of Section 16 is that the exemption “not result in a substantial reduction in competition.” Allowing China Shipping to reduce its tariff rates effective upon publication will increase competition, not reduce it. Removing the commercial disadvantage created by the first sentence of Section 9(c) would simply enable China Shipping to compete with non-controlled carriers on equal terms. At the same time, China Shipping would not be relieved of its obligation to maintain fair and reasonable rates. In other words, shippers would have the benefit of another competitor in the trade with the ability to fairly compete on a level playing field for its cargo. It is difficult to imagine how this could result in anything other than an increase in competition to the ultimate benefit of shippers.

The second requirement, that the exemption not “be detrimental to commerce,” is also met. Rather than being detrimental to commerce, the requested exemption would actually promote commerce by providing shippers with more options than are currently available. Allowing China Shipping to compete on an equal footing with non-controlled carriers will enable China Shipping to remain a price competitive option to shippers (*i.e.*, one more carrier to choose from). Eliminating price as a disqualifying factor would also force carrier competitors to focus on non-price elements of their service, to the clear benefit of their shipper customers.

Granting the Exemption Would Promote the Legislative Intent of the Act

In the First China Shipping Petition, China Shipping pointed out that it operates in accordance with the commercial standards and principles of a market economy, without interference from the Chinese Government. For that reason, it is not the type of controlled carrier against which the Controlled Carrier Act was directed. Furthermore,

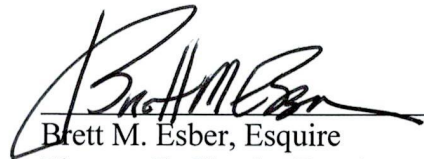
the requested exemption would further Congress' intent, set forth in the legislative history of the Act's exemption provisions, that the Commission use its exemption powers to avoid inconvenience or inequities, as well as Congress' intent in passing the Ocean Shipping Reform Act of 1998 to place "a greater reliance on the marketplace" in the regulation of ocean transportation.² These points are equally valid with respect to this Petition.

² 46 U.S.C. app. § 1701(4).

CONCLUSION

China Shipping requests a permanent full exemption from the first sentence of Section 9(c) of the Act so that it can publish rate decreases in all U.S. foreign commerce to be effective upon publication without regard to whether they are the same as or lower than competing carriers' rates. Granting this permanent full exemption to China Shipping will increase competition, benefit commerce, and promote the legislative intent underlying the Act. It will place China Shipping on an equal footing with non-controlled carriers while leaving intact the requirement that China Shipping maintain just and reasonable rates. For these reasons, China Shipping respectfully requests that the Commission grant it a permanent full exemption from the first sentence of Section 9(c) of the Act.

Respectfully submitted,



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Attorneys for China Shipping Container
Lines Co., Ltd.

Dated: July 31, 2003

VERIFICATION

I hereby declare under penalty of perjury that the facts set forth in the foregoing
Petition of China Shipping Container Lines Co., Ltd. for a Permanent Full Exemption
From the First Sentence of Section 9(c) of the Shipping Act of 1984 are true and correct
to the best of my knowledge and belief.



Jia Hong Xiang
President
China Shipping Container Lines Co., Ltd.

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